Business and Finance Function

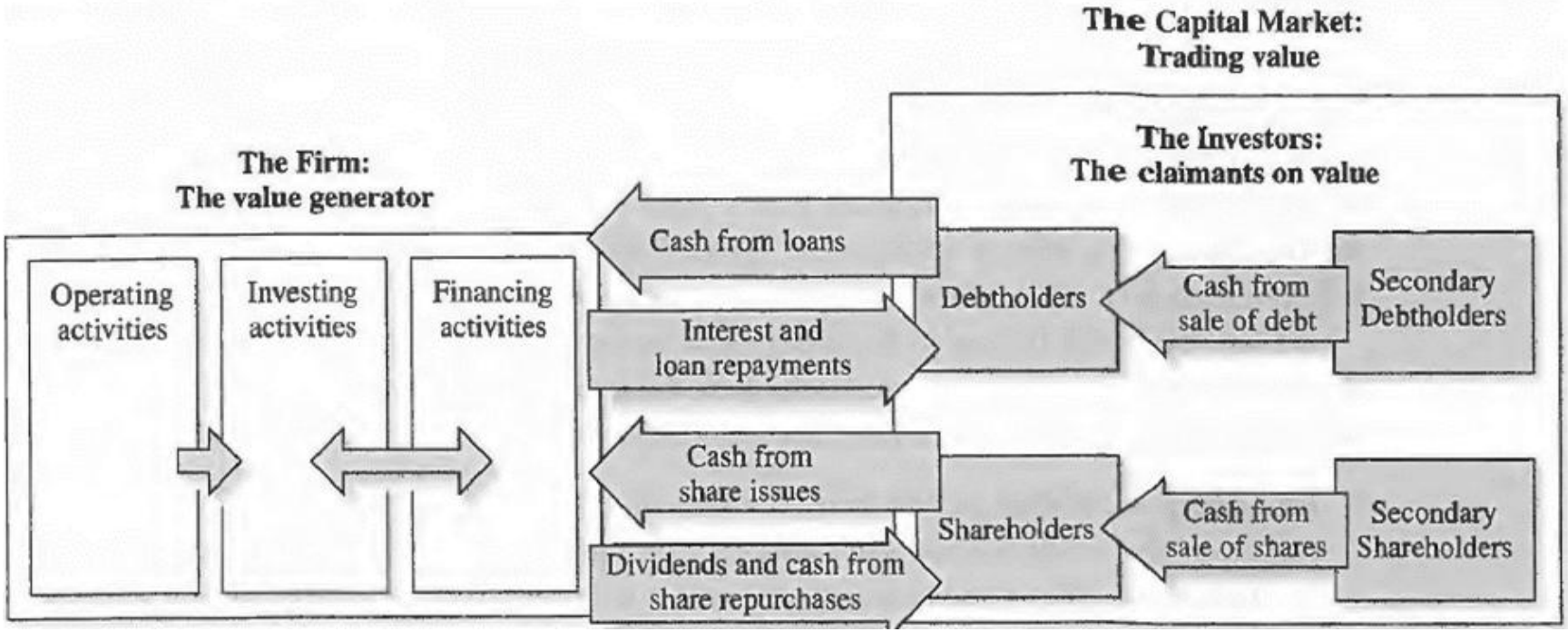
PGDM (2025-27)

Financial Reporting and Analysis (FRA) - Ch. 1

Learning Objectives

- To understand the working of Business Organizations.
- To identify the major Finance functions of Business
- To know the perspectives of understanding and reading Financial Statements.
- To understand the elements of Financial Statements
- To understand the need for Financial Statements
- To understand the Environment of Financial Reporting

The Firm, Its Claimants, and the Capital Market



- *To value business investments, we need to have a good understanding of how a business works, how it adds value, and how it returns value to investors.*
- *Investors expect the firm to add value to their investment and read Financial Statements (FS) to evaluate the firm's ability do so.*
- *Investors' primary concern is the amount to pay – the value of shares or the debt.*
  - *The value of a claim traded in the capital market is based on the anticipated payoffs that the firm will ultimately pay on the claim.*

$$\text{Value of the firm} = \text{Value of debt} + \text{Value of equity}$$

Introduction

- "The most important reason/purpose for existence of a corporation is to ***maximize the shareholder value*** on a ***sustainable basis***, while ***ensuring fairness***, ***transparency*** and ***accountability*** to every one of the stakeholders. *Financial Reporting is a single window for investors to look into operations and aspirations of a corporation*".

- *"I want our shareholders to treat us first as trustworthy people and then as smart people. Our desire is to deliver whatever we promise".*

--- Mr. Narayana Murthy

The Founder, Infosys Limited.

Understanding Business Organizations

- Business organizations provide Products and Services in order ***to earn Profit*** and ***create Value***.
- They convert ***inputs*** into ***outputs*** by applying ***processes***.

- **Kinds of Business Organizations**:
  - Manufacturing Organizations
  - Merchandising (Trading) Organizations
  - Service Organizations
- **Forms of Business Organization**
  - Sole Proprietorship
  - Partnership Firms
  - Company
    - One-Person Co.
    - Private Ltd. Co.
    - Public Ltd. Co.
  - Limited Liability Partnership (LLP)

Selecting a Form of Business Organization

- Businesses differ in ease of starting, flexibility in decision-making, access to capital requirement, extent of regulation and liability.

Forms of Business Organization

	Proprietorship	Partnership	Company	LLP
Getting started	Instant start	Near-instant start	Takes time	Near-instant start
Decision-making	Highly flexible	Reasonably flexible	Constrained	Reasonably flexible
Raising capital	Difficult	Difficult	Easy	Difficult
Legal compliance	Simple	Simple	Burdensome	Simple
Owners' liability	Unlimited	Unlimited	Limited	Limited
Suitability	Small business	Mid-sized business	Large business	Professional services

The Corporate Organisation Structure

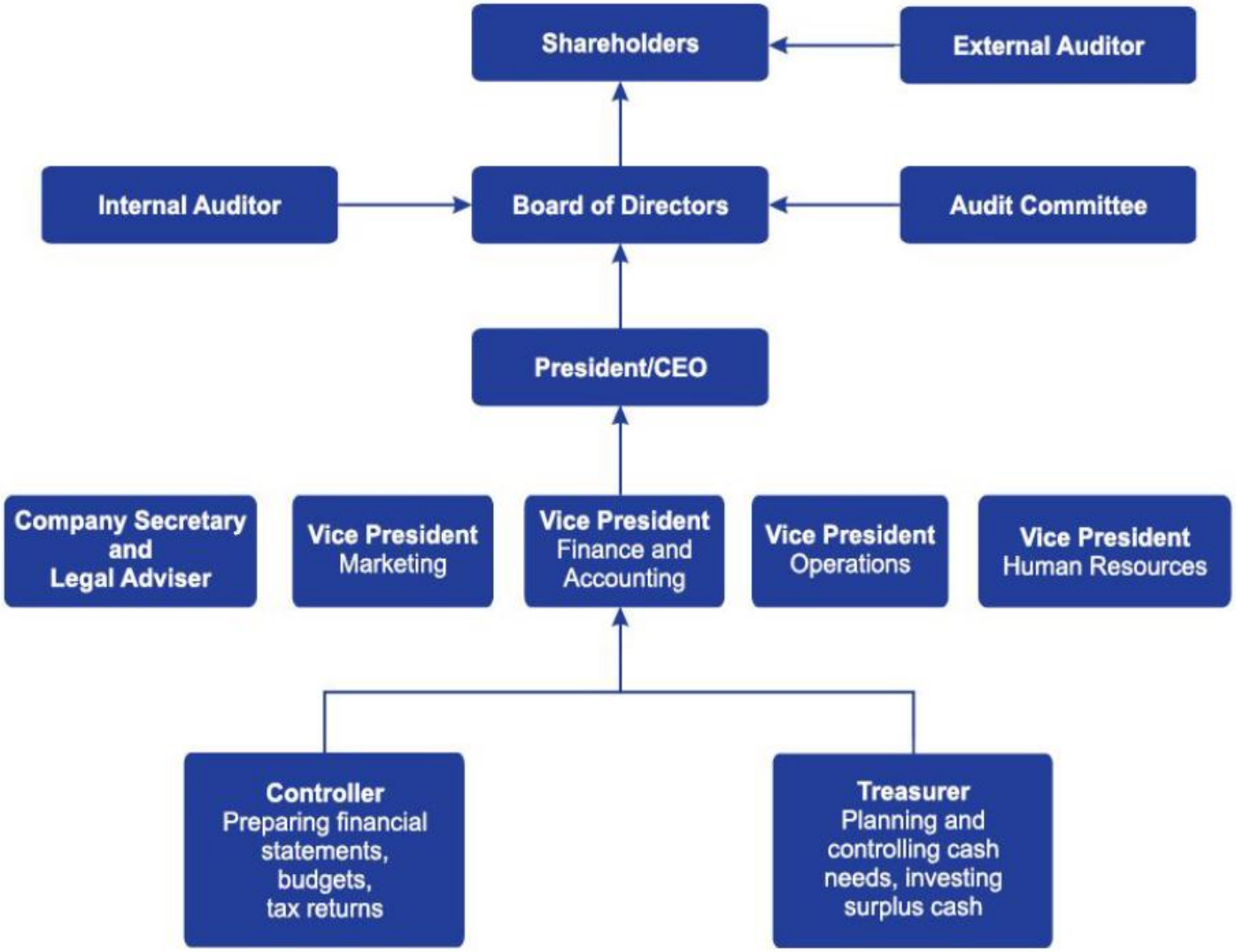


Figure 1.2
THE CORPORATE ORGANIZATION STRUCTURE

The corporate organization structure comprises the company's shareholders at the top who elect the directors, and the directors are assisted by the CEO and other officers.

Major Finance Functions of Business

- **Financing Activities**
  - They include generating funds through issue of shares, bonds/debentures, borrowings from financial institutions, etc.
  - Raising cash for the business in exchange for equity and debt claims and returning cash to claimants.
- **Investing Activities**
  - They include investment in *Physical Assets* (such as Properties, Plants, Equipment, Furniture, Computers, Inventory, etc..) and *Intangible Assets* (such as knowledge and intellectual assets, like technology and know-how, patents, etc..) to be employed in operations.
- **Operating Activities**
  - They include designing, purchases, production, sales, marketing, administration, distribution, post-sales services etc.. for sale of products/goods or rendering services.
  - They result in sales revenue and expenses.

Understanding these activities is fundamental to understanding the value generation in a business.

Perspectives of Understanding and Reading Financial Statements

- **Investors perspective (Investment Analysis):**
  - They need to understand the performance of the company and also financial conditions of the company to decide:
    - Whether to invest or not to invest?
    - When to invest and when not to invest?
    - At what price to invest/buy or at what price to sell? and so on
  - This is called the investment perspective/investment analysis/Equity Analysis
- **Creditors/Lenders/Bankers perspective (Credit Analysis):**
  - They need to understand the financial condition and financial performance of the company before sanctioning the loan.
  - Suppliers to extend the credit facilities i.e. goods and services to their clients or the companies.
  - This is called the credit analysis or the lending perspective.

What are the Financial Statements?

- Financial Statements (FS) provide a summery of its three primary activities/finance functions i.e. *financing*, *investing*, and *operating activities* of a Business (Company).
- Primary Financial Statements are :
  - **Balance Sheet**
    - It is a summery statement of *financing* and *investing* activities.
    - It is also known as statement of *sources* and *application of funds.*
      - The *sources of funds* represent the *financing activities*
      - The *applications of funds* represent the *investing activities*
  - **Statement of Profit and Loss**
    - It is the summery of all *operating activities* of companies.
  - **Statement of Cash Flows or Cash Flow Statement (CFS)**
    - It captures all *cash inflows* and *outflows* related to *financing, investing*, and *operating activities* of a company over a period.

Elements of Financial Statements

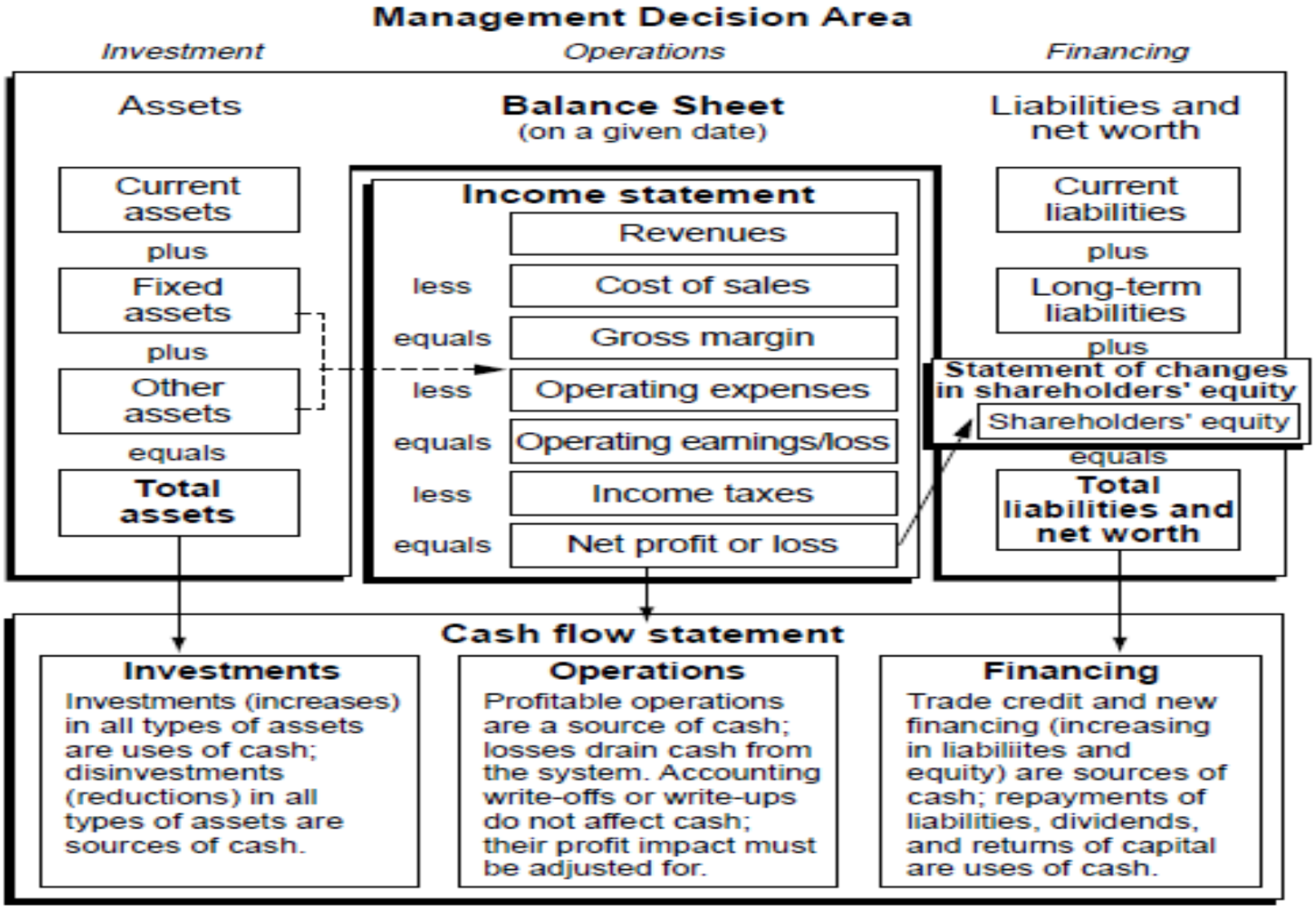
- Financial Statements (FS) aggregate, summarize, and present the financial effects of transactions and other events that take place in a company over a period of time by grouping them into broad classes/elements.
  - ***Assets, Liabilities*** and ***Equity*** are the elements related to the measurement of ***financial position***.
    - The financial position can be measured by comparing the resources controlled by the company (***Assets***) in relation to the claims against those resources (***Liabilities*** and ***Equity***).
    - At all times, the following relationship holds:

$$\textit{Economic Resources} = \textit{Claims}$$

$$\textit{Assets} = \textit{Liabilities} + \textit{Equity}$$

  - ***Revenues*** and ***Expenses*** are the elements related to the measurement of ***financial performance***.

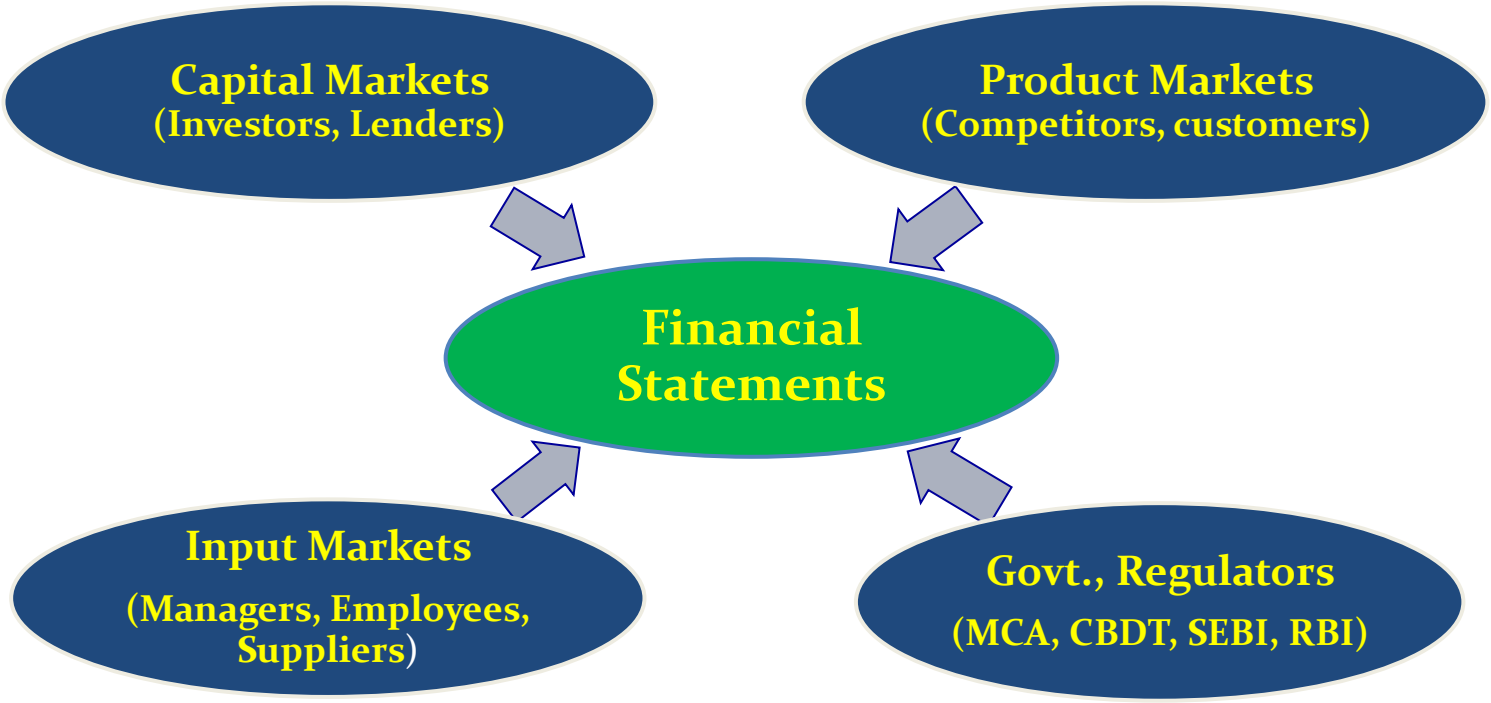
Generalized Overview of Financial Statements



Need for Financial Statements (FS)

- To understand the *financial health/position, financial performance,* and *cash flows* of a company.
- To understand the *drivers of financial performance* in the past and drivers of performance in the future by examining FS.
- To take *economic decisions* by various *Users of FS*
  - Existing and Potential Investors – *investment decision*
  - Bankers and Lenders – *lending decision*
  - Suppliers – *credit sales policy*
  - Customers – *long-term association with the company*
  - Managers and Board of Directors – *review of the performance of the CEO and other senior managers*
  - Equity Analysts – *equity analysis and research*
  - Credit Analysts – *evaluation of creditworthiness of a co*.

The Environment of Financial Reporting



- Many economic forces operate on firms that produce financial reports. Thus, financial statements are the product of the interplay of the forces that drive firms.
- These forces determine the amount of information that a firm provides and how the firm measures and presents the information.
  - Investors often want more information about a firm,
  - whereas the firm's managers would want to give out less information because of the presence of competitors.

Need for Accounting
(Accounting, Markets and Governance)

- The ***separation of ownership*** and ***management*** in the modern company form increases *Agency Problem* which results in *Agency Costs*.
  - ***Agency Problem***: *a potential conflicts between Owners (Shareholders or Principals) and Managers (Agents) i.e. likelihood that managers may place personal goals ahead of corporate goals.*
- ***Jensen and Meckling*** showed that *'the principals (shareholders) can assure themselves that the agents (Management) will make optimal decisions only if appropriate incentives are given and only if the agents are monitored'*.
  - ("Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure", *Journal of Financial Economics,* October 3, 1976)

Continued....

- The Company may incur some costs termed as *Agency Costs* to ensure that its managers act in the best interest of the shareholders.
- These costs include:
  - *Monitoring Costs*
    - External & Internal Audit the financial statements, Reviewing the performance of managers periodically.
  - *Incentives*
    - Offering cash bonus and perquisites, stock options, performance shares and so on.
- As a result, accounting becomes a key instrument for *motivating, directing, monitoring* and *evaluating managerial performance* and, thus, ensuring good corporate governance.
- Under the Companies Act, a Co.'s directors (Management) are responsible for financial reporting.
  - Their responsibilities include:
    - applying accounting standards and policies,
    - maintaining accounting records, preventing and detecting fraud,
    - preparing the financial statements,
    - laying down internal financial controls, and
    - devising systems for compliance with law and regulations.

Accounting Information and Economic Decisions

Users	Examples	Queries/Concerns
Investors, analysts, advisers	Retail investors Mutual funds, private equity funds, hedge funds Equity analysts and bond analysts Credit rating agencies Investment banks Shareholder activists Proxy advisory firms	■ Should I buy, hold or sell the company's shares? ■ Will the investment yield good dividends regularly? ■ Is the enterprise in which I have invested, or thinking of investing, performing well? ■ Are there governance problems in the company? ■ Are the shares a good medium- to long-term investment?
Lenders	Banks Bank depositors Debenture holders Leasing companies	■ Can my borrower pay the principal and interest on time? ■ What should be the security and interest rate for a loan?
Managers and directors	Chief executive officers Chief finance officers Marketing managers Production managers Profit centre heads	■ How is my business performing relative to my competitors? ■ What projects should I invest in? ■ Do the financial reports communicate my firm's true value? ■ Will it be profitable for me to buy out my business?
Employees, trade unions	Factory and office workers Trade unions Trade union federations	■ How much increase in wages and bonus can my employer afford? ■ Can my employer continue to be in business? ■ Can my employer honour its future obligations for pension, health and other post-retirement benefits?
Suppliers, trade financiers	Suppliers of materials, services and utilities Short-term financiers	■ Will my customer be a major source of business? ■ Can my customer pay for its purchases on time?

Accounting Information and Economic Decisions

Customers	Present, past and prospective customers	■ Is my supplier a reliable and competitive source? ■ Can I count on my supplier to provide spare parts for equipment? ■ Does my supplier have the financial resources to honour its warranty obligations?
Auditors	Present, past and prospective auditors	■ How reliable are my client's internal control systems? ■ Are the financial statements likely to be affected by fraud? ■ Are the shareholders and creditors likely to sue us for audit failure?
Government, regulatory authorities	Income tax officers Excise, customs, and service tax officers Commercial tax officers Ministry of Finance Ministry of Corporate Affairs Securities and Exchange Board of India Reserve Bank of India Competition Commission of India Stock exchanges Insurance Regulatory and Development Authority	■ Is a business evading income tax, excise duty, service tax, sales tax or other government levies? ■ Should the government subsidize an industry, increase taxes, or give it protection from dumping? ■ Does a bank follow prudent financial norms? ■ Does a business make required disclosures of its financial affairs? ■ Does a business make abnormal profits by stifling competition in its industry? ■ Does an insurance company follow prudential norms?
The public	Local community Political parties Public affairs groups Consumer groups Environmental activists	■ Does a business exploit local suppliers, small businesses or labour? ■ Does a business earn profits by compromising on product safety or damaging the environment? ■ Is a business abusing its monopoly by overcharging its customers?

Institutions that influence Indian Accounting



Figure 1.4

INSTITUTIONS THAT INFLUENCE INDIAN ACCOUNTING

Many institutions including the government, the securities regulator, the accounting profession, and international organizations influence Indian accounting.

Summery of Learning

Questions & Answers

Thank You